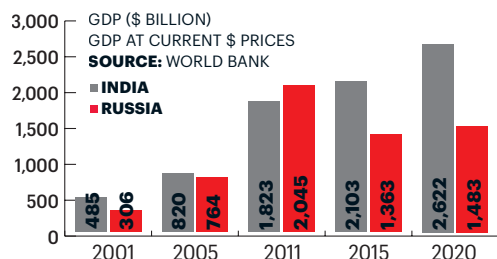


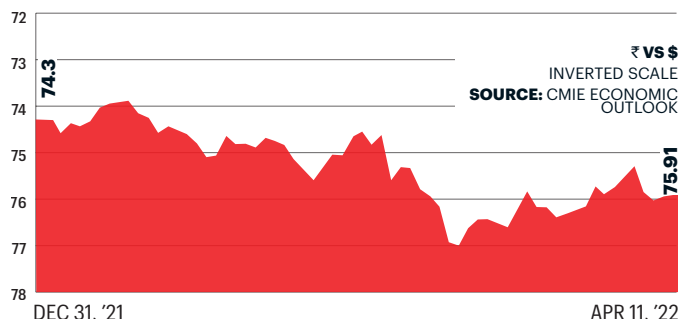
GDP MATTERS

Will India's economic power translate into bargaining power?



FALLING RUPEE

The rupee has slipped against the dollar in recent times



Foreign Minister, Sergei Lavrov, came to Delhi and met Prime Minister Narendra Modi to perhaps reinforce, among other things, a significant expansion of mutual trade. India's pharma industry currently meets \$600 million of Russia's \$8.9 billion in imports, 80 per cent of which is from Europe, mainly Germany and France.

Compare that to roughly \$3 billion in total exports, and the possibilities look extremely attractive, especially since pharmaceuticals are exempt from sanctions imposed on Russia in the wake of the Ukraine conflict. At \$10 billion, Russia currently accounts for just 1.24 per cent of India's trade (imports and exports). Imports (oil, gas, coal and nitrogenous fertilisers) are more than twice exports, so achieving trade balance with a rupee-rouble agreement in place seems like a great opportunity.

That was one of the major objectives behind the bilateral rupee agreements of 1958-59: to increase trade with the USSR and the East European economies, and for a while it succeeded. According to the RBI, which closely tracked the data in its role of implementing the agreements, trade went up from \$9.2 million, or 0.3 per cent of India's total trade in 1952-53, to \$658 million, or 14.2 per cent in 1965-66. But the balance of trade was skewed; imports from the USSR exceeded exports from India to the USSR by a wide margin, and

the rupee balances in Soviet Union's accounts with the RBI kept piling up.

"Even after the termination of the rupee-rouble agreement in 1992, it took Russia—the successor state to the USSR—more than 16 years to liquidate the rupee balances it held with the RBI," says Pronab Sen, former chief statistician of India and ex-secretary in the Ministry of Statistics and Programme Implementation. Sen has written on this extensively, including a paper for the erstwhile Planning Commission, in 1990.

But many exporters believe that a new bilateral rupee-rouble agreement will be beneficial, and not just because it would ease payment realisation. The core problem in the past—in fact, the root of most disagreements—has been on how the exchange rate between the rupee and the rouble was set. The new agreement, it's expected, will fix that.

DIDN'T PAY THE PIPER, COULDN'T CALL THE TUNE

Until the first half of the 1960s, the exchange rate at which Russia's debts and credits were valued was based on the amount of gold in the rupee. In 1966, India decided to devalue the rupee in domestic and international markets after the economy went through a series of problems. Not surprisingly, Moscow wanted a revaluation of the agreement.

In 1971, global gold reserves became inadequate to support the system of fixed exchange rates based on the gold standard. The US devalued its currency by 8.5 per cent against gold by raising the price from \$35 an ounce to \$38 under the Smithsonian Agreement, and the G10—the world's 10 largest economies—devalued their currencies against the dollar.

The devaluation of the British pound, to which the rupee was linked, eroded its value even more. Speculators and traders in foreign exchange markets pushed values down further and, in 1973, the system of fixed exchange rates collapsed, replaced by floating rates. Ten years after India devalued the rupee, India and the USSR still hadn't agreed on an exchange rate.

Finally, in 1978, a Protocol set it at ₹10, a rupee higher than the rupee-dollar rate. Even after India switched to a flexible exchange rate against a

**\$3.9
BILLION**
INDIA'S
EXPORTS TO
RUSSIA IN 2019